

OCS / Mitie

£3.1bn recommended cash acquisition

221.6p

Headline value / share

46.8%

Premium to unaffected price

~£3.1bn

Fully diluted equity value

Q1 2027

Expected completion

Core question

Does the strategic value of combining OCS and Mitie justify paying a 46.8% headline premium - and can the enlarged group support the financing required to do it?

Acquirer	OCS Group International Ltd	Target	Mitie Group plc
Sponsor	Clayton, Dubilier & Rice	Structure	Scottish scheme of arrangement
Announcement	21 July 2026	Advisers	Lazard (OCS lead); Ardea / Peel Hunt (Mitie)

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Independent analysis for educational and portfolio purposes. Publicly disclosed transaction facts are separated from illustrative analytical assumptions. This is not investment advice.

Executive summary

Transaction: OCS has agreed to acquire Mitie for 218.5p in cash per share. Including Mitie's permitted FY26 final dividend of up to 3.1p, shareholders can receive total value of up to 221.6p per share, implying a fully diluted equity value of approximately £3.1bn.

Price: The headline value represents a 46.8% premium to Mitie's 151.0p unaffected closing price on 20 July 2026. That is a substantial control premium and shifts the burden of proof toward execution: OCS must capture scale, cost efficiencies, cross-selling and operational improvement to make the economics compelling.

Strategic logic: The combination creates a larger UK-headquartered facilities-management platform with broader service capability, sector exposure and geographic reach. The fit is strongest in complex outsourced environments such as government, defence, healthcare, infrastructure and large commercial estates.

Target quality: Mitie entered the transaction with strong momentum: FY26 revenue of £5.619bn, operating profit before Other items of £264m and free cash flow of £162m. Its long-duration customer relationships and order book strengthen the strategic case, but also explain why the board could credibly argue for a meaningful premium.

Financing: The commitment documentation provides for a £1.5bn bridge facility, £2.5bn term loan B and £800m revolving credit facility, alongside sponsor support from CD&R.; The debt package gives OCS certainty of funds but makes post-close deleveraging an important part of the investment case.

Conclusion: The deal is strategically coherent but financially demanding. The premium is defensible if the enlarged group converts scale into durable margin improvement and cash generation. If integration or synergy capture disappoints, the price paid leaves materially less room for error.

OVERALL JUDGEMENT

Strategically compelling; valuation demanding; financing manageable only with disciplined integration and deleveraging.

Transaction overview & offer premium

Reference point	Price (p)	Cash premium	Headline premium
Unaffected close	151.0	44.7%	46.8%
3-month VWAP	159.3	37.2%	39.2%
6-month VWAP	164.9	32.5%	34.4%
All-time high	185.7	17.7%	19.3%

The premium is meaningful against every reference point, not just the day-before price. Even against Mitie's all-time high, the headline value is approximately 19% higher. This reduces the argument that OCS is simply exploiting temporary public-market weakness.

Structure and timetable. The acquisition is being implemented through a court-sanctioned scheme of arrangement. The scheme document was published on 13 August 2026, shareholder meetings are scheduled for 16 September 2026 and completion is expected in Q1 2027, subject to shareholder, court and regulatory approvals.

Board recommendation. Mitie's directors unanimously recommended the offer. Their decision reflects a trade-off between Mitie's standalone growth prospects and the certainty of immediate cash value at a significant premium.

Advisory context. Lazard is lead financial adviser to OCS, with Barclays and RBC also advising. Ardea is lead financial adviser / Rule 3 adviser to Mitie, alongside Peel Hunt. The financing was initially underwritten by HSBC, RBC and Barclays, with additional banks later joining the financing arrangements.

Strategic rationale & target quality

Scale: OCS describes the combination as creating a substantially larger facilities-management platform. On the companies' cited calendar-2025 basis, combined revenue is approximately £8.5bn. Greater scale can improve procurement, bidding capability, technology investment and the ability to service large multi-site contracts.

Capability breadth: Both companies operate across facilities management and related technical services, but the combination broadens the service portfolio and sector reach. That matters in outsourced FM, where large customers increasingly prefer integrated solutions rather than fragmented single-service contracts.

Customer and sector access: The enlarged group should have stronger exposure to government, defence, healthcare, infrastructure and commercial customers. Cross-selling is therefore a plausible value-creation lever, although OCS has not publicly quantified a synergy target.

Mitie FY26	FY25	FY26	Change / comment
Revenue	£5,083m	£5,619m	+10.5%
Operating profit before Other items	£234m	£264m	+12.8%
Free cash flow	£143m	£162m	+13.3%
Basic EPS before Other items	12.7p	13.6p	+7.1%
Dividend per share	4.3p	4.5p	+4.7%

Mitie's FY26 performance strengthens the seller's negotiating position. Revenue and adjusted operating profit both grew at double-digit rates, while free cash flow exceeded the company's FY27 strategic-plan target level of £150m a year one year early. The target therefore was not being acquired from a position of obvious operational distress.

Key analytical implication: OCS is paying for quality and strategic scarcity. That can justify a premium, but it also means value creation cannot rely on a simple turnaround thesis.

Financing & capital structure

Facility / support	Amount	Key point
Bridge facility	£1.5bn	Expected to be refinanced / replaced, including through senior secured notes
Term Loan B	£2.5bn	At least £750m sterling TLB1; remainder can be euro TLB2
RCF	£800m	Multicurrency liquidity facility
CD&R equity commitment	£891.3m	Cash equity commitment disclosed in the equity commitment letter
Sponsor contribution test	≥35%	Defined broadly; can include existing sponsor equity value and other qualifying contributions

The financing package is larger than the Mitie purchase price because the transaction financing also supports refinancing requirements within the OCS capital structure. For that reason, the headline facility amounts should not be interpreted as acquisition debt drawn solely to fund the £3.1bn equity purchase.

The commitment documents include leverage-based pricing ratchets. For sterling TLB1, the opening margin is 5.00% at senior secured leverage of at least 4.65x, stepping down as leverage falls. This creates a direct economic incentive to deleverage after closing.

The bridge facility also carries a meaningful cost of carry and step-ups over time, reinforcing the expectation that it is temporary rather than permanent capital.

Banking judgement: Financing certainty is strong, but the structure makes cash conversion and debt reduction central to the equity story. The transaction is therefore not simply about revenue scale; it is about converting scale into EBITDA and free cash flow quickly enough to reduce financing risk.

Merger economics & sensitivity

OCS has not publicly disclosed a quantified synergy target. The scenarios below are therefore illustrative analytical assumptions, not company guidance. They are designed to test how much operating improvement would be needed to support the premium and financing.

Scenario	Illustrative synergies	Potential sources	Interpretation
Low	£50m	Selective overhead, procurement	Limited cushion versus premium
Base	£100m	Overhead + procurement + platform efficiencies	Meaningful but requires disciplined execution
High	£150m	Broader cost actions + cross-selling / operating leverage	Strong value creation, higher execution burden

The strongest synergy buckets are likely to be duplicated corporate overhead, procurement, technology/platform consolidation and facilities footprint. Revenue synergies through cross-selling are strategically attractive but should receive a lower valuation weighting because they are harder to underwrite and typically take longer to realise.

A base-case model should therefore avoid treating the entire strategic rationale as immediate EBITDA. A more credible underwriting approach phases benefits over several years, includes one-off integration costs and assumes some execution slippage.

Deleveraging: In the accompanying model, leverage falls as EBITDA grows and cash is used to repay debt. The exact path is illustrative, but the direction is fundamental: if the combined group does not deleverage, the sponsor's return becomes more dependent on exit multiple support rather than operational value creation.

Key risks & final judgement

Risk	Why it matters	Mitigant / watchpoint
Integration	Two large FM organisations, systems and workforces must be integrated without disruption of service quality	Phase integration with robust customer service quality
Premium paid	46.8% headline premium leaves less margin for error.	Require tangible synergy capture and margin improvement rather than cost-cutting
Leverage / refinancing	Debt funding increases sensitivity to rates, cash conversion is a challenge	Rapid deleveraging; refinance bridge capital; preserve RCF liquidity
Customer concentration	Large contracts can create renewal and execution risk	Diversified sectors and large order book; monitor renewals and re-tenders
Regulatory / completion	Scheme requires shareholder, court and regulatory approval	Recommended offer and disclosed timetable, but completion remains uncertain

Final view. OCS / Mitie is a strategically credible transaction with unusually clear industrial logic: scale, breadth, customer access and investment capacity all improve. Mitie's standalone performance means the buyer is not acquiring a distressed asset, so the premium should be understood as payment for control of a high-quality strategic platform.

The central issue is therefore not whether the businesses fit; they do. The issue is whether the value of that fit exceeds the price and financing burden. At a 46.8% headline premium, OCS needs execution rather than merely ownership to create value.

My conclusion is that the premium is defensible, but not cheap. The transaction works best if OCS realises meaningful cost efficiencies, protects Mitie's customer franchise and uses the combined group's cash generation to reduce leverage quickly. If those conditions are met, the enlarged group can justify the strategic premium. If they are not, the acquisition price leaves limited downside protection.

This is the key reason the deal is a useful banking case study: the strategic rationale is strong enough to support a premium, while the financing structure forces a disciplined debate about how that premium is actually earned back.

Selected sources & model notes

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| 1 | Mitie - Recommended cash offer by OCS for Mitie (Rule 2.7 announcement, Scheme Document and financing documents). |
| 2 | Mitie - Annual Report and Accounts 2026 and FY26 investor materials. |
| 3 | OCS - Annual Report and Accounts 2025, as incorporated by reference into the offer materials. |
| 4 | Debt Commitment Letter and Equity Commitment Letter published on the Mitie offer microsite. |

Model-note discipline. Publicly disclosed facts are presented as such. Synergy scenarios, implementation costs, leverage paths and sponsor-return cases in the accompanying Excel model are illustrative analytical assumptions and are not OCS, Mitie or CD&R; guidance.

Important accounting caveat. Where the model uses Mitie's operating profit before Other items as an EBITDA proxy, it is explicitly labelled as a proxy rather than a reported EBITDA figure. The public transaction analysis should not imply a precise transaction EV/EBITDA multiple until a fully reconciled EBITDA and debt bridge is used.

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